Cambridge IGCSE™

ECONOMICS 0455/11

Paper 1 Multiple Choice **Predicted Paper 2026**

45 minutes

[Difficulty Level: ADVANCED]

You must answer on the multiple choice answer sheet.

You will need: Multiple choice answer sheet
Soft clean eraser
Soft pencil (type B or HB is recommended)

INSTRUCTIONS

- There are thirty questions on this paper. Answer **all** questions.
- For each question there are four possible answers **A**, **B**, **C** and **D**. Choose the one you consider correct and record your choice in soft pencil on the multiple choice answer sheet.
- Follow the instructions on the multiple choice answer sheet.
- Write in soft pencil.
- Write your name, centre number and candidate number on the multiple choice answer sheet in the spaces provided unless this has been done for you.
- Do not use correction fluid.
- Do not write on any bar codes.
- You may use a calculator.

INFORMATION

- The total mark for this paper is **30**.
- Each correct answer will score one mark.
- Any rough working should be done on this question paper.

This document has the pages indicated. Any blank pages are indicated.

1 Two consumers each have $100. Consumer X spends all $100 on food. Consumer Y spends $80 on food and saves $20. Which economic concept is best illustrated by their different choices?

A market equilibrium
B different consumers making different choices when resources are scarce
C the law of demand
D a change in equilibrium price

2 An entrepreneur earns $40 000 profit per year from her business. If she closed the business she could earn $50 000 as an employee, and she could earn $1 000 per year in interest by placing her $20 000 of business capital in a bank account. What is her annual opportunity cost of continuing to run the business?

A $40 000
B $50 000
C $51 000
D $70 000

3 A country's production possibility curve (PPC) shifts inwards along the machines axis only, while the food axis is unchanged. What is the most likely cause?

A a general fall in productivity across all industries
B destruction of machinery-producing factories only
C an improvement in food technology
D a large reduction in the total labour force

4 In a competitive market, demand for a product increases and supply decreases at the same time. Which row shows the certain effects on equilibrium price and equilibrium quantity?

	effect on equilibrium price	effect on equilibrium quantity
A	rises	rises
B	rises	uncertain
C	uncertain	rises
D	uncertain	uncertain

5 The cross-price elasticity of demand between goods X and Y is +2.5. Which best describes the relationship between them?

A they are close complements
B they are weak substitutes
C they are strong complements
D they are strong substitutes

6 The price of a product rises from $8 to $10. Total revenue from sales stays exactly the same. What is the price elasticity of demand (PED)?

A absolute value 0 (perfectly inelastic)
B absolute value less than 1 (inelastic)
C absolute value equal to 1 (unit elastic)
D absolute value greater than 1 (elastic)

7 A government imposes a specific indirect tax on producers of a good whose demand is highly price inelastic. Which outcome is most likely?

A consumers bear most of the tax burden
B producers bear most of the tax burden
C the burden is shared equally
D the market price does not change

8 In a command (planned) economy, the key determinant of resource allocation is:

A consumer preferences expressed through prices
B market forces of demand and supply
C private firms' profit motives
D decisions of central government planners

9 A government sets a minimum wage above the free market equilibrium wage for unskilled labour. Which outcome is most likely in the short run?

A excess demand for unskilled labour
B excess supply of unskilled labour (unemployment)
C an increase in total employment of unskilled workers
D full employment of unskilled workers

10 Commercial banks help to increase the money supply mainly by:

A collecting taxes for the central bank
B lending a proportion of customer deposits while keeping reserves
C issuing new shares
D printing physical currency

11 The table shows how a household's monthly spending changes with income.

income ($/month)	spending ($/month)
3 000	3 100
4 000	3 900
5 000	4 600
6 000	5 200

At which income level does the household first have positive saving, and what is the marginal propensity to save (MPS) between the last two income levels in the table?

A positive saving at $4 000; MPS = 0.3
B positive saving at $4 000; MPS = 0.4
C positive saving at $5 000; MPS = 0.3
D positive saving at $5 000; MPS = 0.4

12 Which statement best explains why the demand for labour is a derived demand?

A labour demand depends on consumer demand for the final output
B labour demand is driven by workers' own wants
C labour demand is set by governments to achieve full employment
D labour demand is set independently of the product market

13 In which labour market would employers have the greatest power to set wages below the competitive level?

A many employers and a strong trade union representing workers
B many employers and many workers, with no trade union
C one large employer and many workers with no trade union
D one large employer and one strong trade union

14 A large manufacturing firm experiences internal diseconomies of scale. This is most likely due to:

A bulk purchasing of raw materials
B the ability to borrow at lower interest rates
C management and coordination difficulties
D specialisation and division of labour

15 The table shows a firm's costs at different levels of output.

output (units)	total cost ($)
0	1 000
100	1 800
200	2 400
300	3 300
400	4 800

Over which range of output is average total cost falling most rapidly, suggesting economies of scale are being achieved?

A 0 $\rightarrow$ 100 units
B 100 $\rightarrow$ 200 units
C 200 $\rightarrow$ 300 units
D 300 $\rightarrow$ 400 units

16 A firm currently sells 100 units at $20 each. It raises the price to $22 and quantity demanded falls to 95 units. What does this imply about the product's price elasticity of demand (PED)?

A PED equals 0 (perfectly inelastic)
B PED has an absolute value between 0 and 1 (inelastic)
C PED has an absolute value equal to 1 (unit elastic)
D PED has an absolute value greater than 1 (elastic)

17 A government pursues the aims of low inflation and a reduction in income inequality. Which policy could create a conflict between these aims?

A cutting the top rate of income tax to encourage work effort
B increasing state pensions funded by higher taxes on the rich
C investing in education to improve workers' skills
D running a small budget surplus

18 The table shows combinations of fiscal and monetary policies pursued by a government and its central bank at the same time. Which combination is most likely to leave the overall effect on real output uncertain, because the two policies pull in opposite directions?

	fiscal policy	**monetary policy**
A	expansionary	expansionary
B	expansionary	contractionary
C	contractionary	contractionary
D	contractionary	no change

19 The central bank of a country wishes to reduce inflation. Which combination of actions is most consistent with this aim?

A raise interest rates and reduce the growth of the money supply
B raise interest rates and increase the growth of the money supply
C lower interest rates and reduce the growth of the money supply
D lower interest rates and increase the growth of the money supply

20 A supply-side policy is most likely to succeed in the long run if it:

A reduces aggregate demand in the economy
B raises the productive capacity of the economy
C lowers the exchange rate of the country
D increases welfare spending on the unemployed

21 An economy is operating inside its production possibility curve (PPC) with high unemployment. The government uses expansionary demand-side policies. What is the most likely short-run effect?

A movement towards the PPC with modest inflationary pressure
B outward shift of the PPC with strong inflation
C rising unemployment with falling prices
D strong inflation with no change in output

22 Chile specialises in producing copper for export. The world supply of copper from other countries rises sharply. Which row shows the most likely short-run effect on the Chilean economy?

	employment	**rate of economic growth**
A	rises	rises
B	rises	falls
C	falls	rises
D	falls	falls

23 In a country experiencing economic development, the share of the tertiary sector in total employment is rising, while the share of the primary sector is falling. Which is the most likely reason?

A rising average incomes causing greater demand for services
B a fall in the total size of the population
C a rise in the world price of primary commodities
D a fall in labour productivity in all sectors

24 In year 1 an economy's inflation rate is 2%. In year 2 it is 4%. In year 3 it is 3%. The average money wage rose by 3% in each year. In which year did real wages fall?

A year 1
B year 2
C year 3
D real wages were unchanged each year

25 Which government measure would most effectively reduce income inequality?

A cutting welfare benefits paid to low-income households
B introducing a flat-rate income tax on all earnings
C making the income tax system more progressive and targeting benefits on the poor
D removing inheritance taxes on the wealthy

26 A country has a falling birth rate, a low and stable death rate, and rising life expectancy. What is the most likely long-term consequence?

A a younger and faster-growing population
B an ageing population and a rising dependency ratio
C a sudden fall in total population
D no change in the age structure of the population

27 Country A can produce either 100 units of cloth or 50 units of wheat with its resources. Country B can produce either 80 units of cloth or 60 units of wheat. Which statement correctly identifies comparative advantage?

A A has comparative advantage in both goods
B A has comparative advantage in cloth; B has comparative advantage in wheat
C A has comparative advantage in wheat; B has comparative advantage in cloth
D B has comparative advantage in both goods

28 A government replaces a tariff on imported steel with an import quota that reduces imports by the same amount. Compared with the tariff, the quota is most likely to:

A raise the government's tax revenue from steel imports
B reduce the domestic price of steel
C raise the domestic price of steel and reduce government revenue from imports
D have no effect at all on the domestic steel market

29 A country's currency depreciates. In the first few months the current account balance worsens before it begins to improve. What best explains the initial worsening?

A exports immediately become cheaper abroad
B import prices rise quickly but import volumes take time to fall
C the exchange rate returns to its original level
D inflation falls in the short run

30 A country has run a large and persistent current account surplus for many years with a floating exchange rate. What is the most likely long-term consequence?

A currency appreciation, which reduces the competitiveness of exports
B currency depreciation, which increases the value of exports
C a fall in real GDP and a rise in unemployment
D an unchanged exchange rate and unchanged trade flows